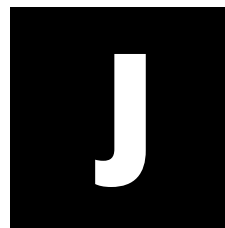




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SMALL AND MEDIUM ENTERPRISES ARE STARTING TO TURN A CORNER AFTER THE COVID-19 PANDEMIC. BUT THE CHALLENGES THEY FACE NEED TO BE ADDRESSED ON PRIORITY TO KEEP INDIA'S GROWTH ENGINE FIRING

BY SURABHI



JUGAAD. THERE'S NO English synonym for this Hindi word that roughly translates to a simple fix or a frugal solution. It has been used by most Indians at one point or another. But, for a vast number of India's small businesses, it is an intrinsic part of life, for they continue to exist, operate, and often grow despite the numerous challenges thrown at them.

The scale of those challenges is clearly visible in recent data that shows that India's informal sector enterprises are yet to fully recover from the body blow they suffered after the outbreak of the Covid-19 pandemic. The recently released factsheet on the Annual Survey of Unincorporated Sector Enterprises (ASUSE) for 2021-22 and 2022-23 reveals that the number of unincorporated enterprises fell to 5.03 million in the April-July 2021 period during the second Covid-induced lockdown, but rebounded in the following months and the figure for the whole of 2021-22 rose to 59.7 million. There was a 5.88% increase in 2022-23 to 65 million units. But compare that with the pre-pandemic period, and the increase is minimal. In the ASUSE 2015-16, there were 63.3 million unincorporated firms in the country.

The number of workers employed by these establishments, the country's largest non-farm employers, is yet to recover. It was 111.2 million in 2015-16, and even after the post-pandemic recovery, the employment figure stands at 109.6 million in 2022-23.

Experts believe that the numbers are a telling indicator of the health of India's small businesses, or micro, small, and medium enterprises (MSMEs), and much more needs to be done to not just revive them but make them a force to reckon with.

That's a priority because MSMEs contribute a third of the country's GDP, about 36% to the gross value addition in the manufacturing sector, and 45%